

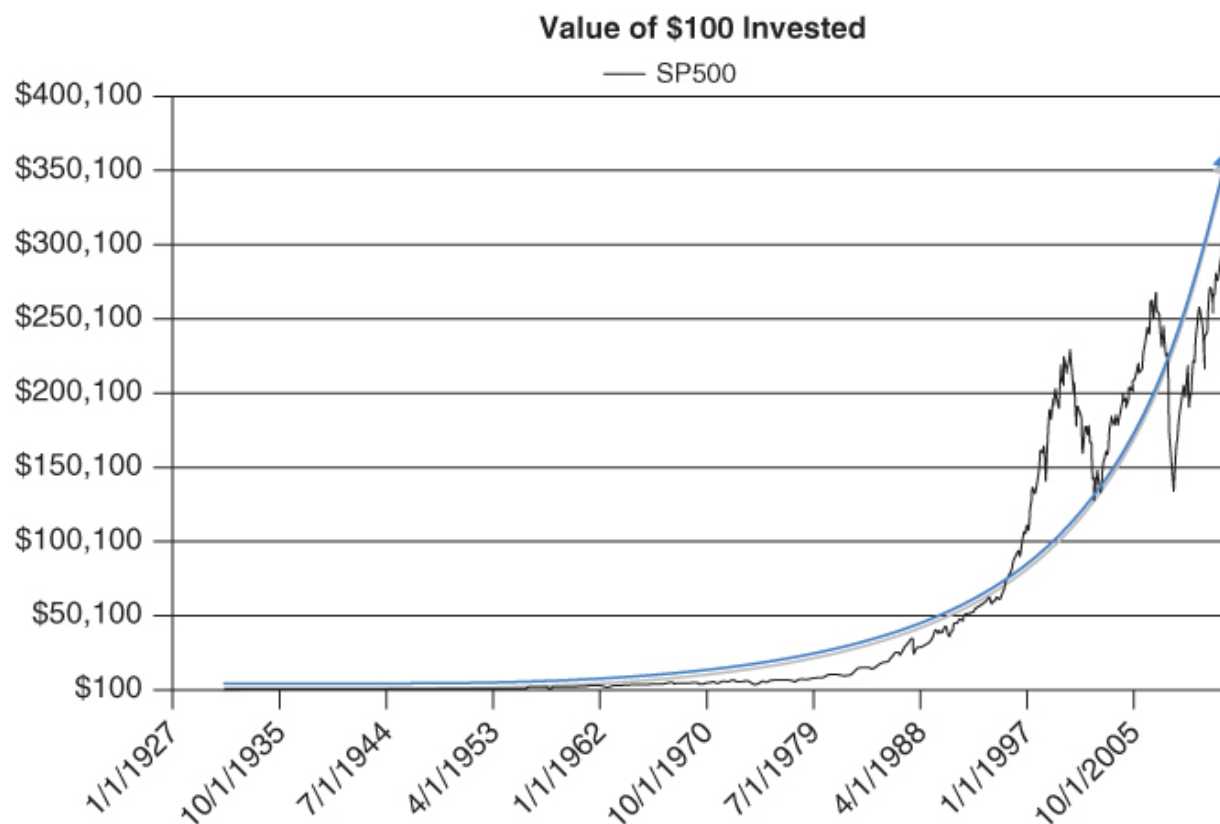


Figure 3.5 Value of \$100 Invested

Although the advisor technically offered the exact same information (stocks grew at 9.91 percent from 1927 to 2013), the framing of the second statement, alongside a fancy chart that enhances the framing effect, might encourage a client to allocate more to stocks. The thought of turning \$100 into \$371,452 is much more appealing at first glance than earning a comparatively “measly” 9.91 percent a year, which is an abstraction with less immediately perceived value. We are poor natural statisticians, and interpreting geometric growth rates is not intuitive to the human mind.

Availability Bias

Availability bias is an artifact of System 1, which causes our mind to overemphasize the importance of recent or easily recalled information. An applied example: Imagine that someone asks you whether there are more English words that begin with a *k* or have *k* as the third letter. Your mind is slowly churning: *kid*, *kiss*, *key*...

Did you think of any words with *k* as the third letter?